PFCE = Private Final Consumption Expenditure in Domestic Market + (Final Consumption Expenditure of Resident households in the rest of the world – Final Consumption Expenditure of Non-resident households in the economic territory)

II. Government Final Consumption Expenditure

Final consumption expenditure is the amount of expenditure on consumption goods and services. The final consumption expenditure borne by the government and NPISH is called General Government Final Consumption Expenditure. Consumption expenditure by General Government is either for the benefit of the community at large or for the benefit of individual households. The examples for the consumption expenditure by the government for the benefit of community at large are control of law and order, disease control measure, etc. The examples for the consumption expenditure by the government for the benefit of individual households are subsidised public distribution, disaster relief payments, etc.

The expenditures that government units or NPISHs make on individual goods and services that they provide to households as social transfers in kind are recorded as final consumption expenditure incurred by government units or NPISHs.

III. Gross Capital Formation

Gross capital formation refers to addition of new capital assets. From addition of new assets the disposed assets are deducted and the net addition of capital assets is called gross capital formation. The capital assets are fixed assets like building, machinery plus inventories and valuables. The estimation of Gross capital formation is dealt below.

IV. Export less import

The difference between export of goods and services and import of